

Flow 3: Dispute Management

Product Area: Bank / Program Admin

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Status: Draft

1. Purpose & Scope

This PRD defines the requirements for **Dispute Management** in the Bank / Program Admin console — the agent-facing tooling used to receive, investigate, progress, and resolve cardholder-initiated transaction disputes within statutory FCBA windows.

This document covers:

- Dispute intake queue from cardholder submissions
- Status lifecycle management (Received → In Review → Submitted to network → Resolved)
- **Provisional credit issuance**
- Evidence collection and chargeback representment
- Internal notes and case audit trail
- SLA tracking against FCBA requirements
- Outcome posting and balance adjustments

This document does not define:

- Cardholder-side dispute initiation UI (covered in End-Client PRDs)
 - Network-level chargeback rule engine (Visa/Mastercard reason code logic) — assumed to be an integrated service
 - General customer service ticketing (this is dispute-specific)
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2. Goals & Success Criteria

Goal	Success Criterion
Meet FCBA statutory timelines	100% of disputes acknowledged within 30 days, resolved within 2 billing cycles (max 90 days)
Provide cardholders with real-time status visibility	Every admin status change is reflected in cardholder app within minutes
Reduce friendly fraud and erroneous chargebacks	Pending and expired transactions cannot enter the dispute pipeline (enforced upstream)
Auditable end-to-end case record	Every dispute has a complete, exportable case file



3. Personas

- **Dispute Agent (primary):** Investigates and progresses disputes day-to-day.
- **Dispute Supervisor:** Approves provisional credits above threshold; handles escalations.
- **Compliance:** Audits SLA performance and case files.
- **Cardholder (downstream):** Sees status updates via the in-app dispute tracker.



4. Functional Requirements

4.1 Dispute Intake Queue

Lists all cardholder-submitted disputes with default sort by FCBA SLA urgency (closest to deadline first).

Per-row columns

- Case ID
- Cardholder name + account reference
- Transaction (merchant, amount, post date)
- Dispute reason (controlled list — see §4.2)
- Status (Received / In Review / Submitted / Resolved)
- Submission date
- Days since submission

- SLA deadline (30-day ack and 90-day resolve)
- Provisional credit status
- Assignee

Filters

Status, dispute reason, date range, amount range, account, assignee, SLA risk (red/yellow/green)

Eligibility enforcement at intake

> *Audit reference (Findings #5, #6): the cardholder-side dispute initiation flow must block pending and expired transactions from being submitted; this admin queue assumes that filtering has occurred.*

- Disputes for transactions in **Pending** status cannot enter this queue
- Disputes for transactions outside the 60-day FCBA dispute window from statement date cannot enter through standard intake; out-of-window disputes route to a separate "exception review" queue with supervisor handling

4.2 Dispute Reason Categories

Controlled list aligned to card network chargeback reason codes:

- **Fraud / Unauthorized** — cardholder did not authorize
- **Billing Error** — duplicate charge, incorrect amount, wrong date
- **Service Not Received** — paid but service/goods never delivered
- **Goods Not As Described / Quality**
- **Cancelled Recurring Transaction**
- **Credit Not Processed** — refund promised but not posted
- **Processing Error** — currency conversion, ATM dispense error, etc.

Each reason maps to required evidence types and a target network reason code.

4.3 Case Detail View

Header

Case ID, dispute amount, dispute reason, current status, days to SLA deadline

Transaction context

- Merchant info, MCC, amount, post date, original auth data, terminal/online indicator
- Related transactions on this merchant in the past 90 days (for pattern detection)

Cardholder narrative

- The free-text reason cardholder provided at submission
- Any cardholder-uploaded evidence

Investigation panel

- Reason code adjustment (agent can refine the network reason code)
- Internal notes thread (timestamped, agent-attributed)
- Evidence upload — receipts, communications, screenshots, signed declarations
- Merchant communication log (if applicable)

Action panel

- Issue / adjust / reverse provisional credit
- Change status
- Submit to network
- Close case (with outcome)

4.4 Status Lifecycle

Status	Definition	Triggers
Received	Submitted by cardholder; not yet assigned	Auto on intake
In Review	Agent has begun investigation	Agent action
Submitted	Chargeback filed with network / merchant	Agent action; network submission
Resolved – Cardholder	Cardholder wins; credit is permanent	Agent action with

Status	Definition	Triggers
Favor		outcome
Resolved – Merchant Favor	Merchant wins representment; provisional credit reversed	Agent action with outcome
Resolved – Withdrawn	Cardholder withdrew the dispute	Agent or cardholder action

Status changes:

- Are timestamped and actor-attributed
- Trigger cardholder notifications per Flow 1's program-configured policy
- Update the cardholder-facing tracker in near real-time

Audit reference (Finding #7): the cardholder-side dispute tracker depends on this status lifecycle being exposed faithfully and promptly.

4.5 Provisional Credit

Rules

- Provisional credit must be issued within 2 billing cycles or before the FCBA resolution deadline, whichever comes first, for eligible disputes
- Amount defaults to the full disputed amount; agent can adjust with reason
- Above an issuer-configured threshold, supervisor approval is required
- Provisional credit posts to the cardholder account immediately and reflects in available credit
- If the dispute is ultimately resolved in merchant favor, the provisional credit is reversed; cardholder is notified at least one billing cycle before reversal (FCBA requirement)

4.6 Evidence Management

- Upload files (PDF, images, common formats); size limits enforced
- Tag evidence by source (cardholder, merchant, agent investigation)
- Chronological evidence timeline view

- Evidence is retained for the regulatory retention period (typically 7 years)
- Evidence is included in the case export bundle for network submission

4.7 Network Submission & Representment

- Agent can package the case (selected evidence + narrative + reason code) and submit to the card network's chargeback system
- Outcome from network (won, lost, second cycle, pre-arbitration) is recorded
- For second-cycle / pre-arbitration, the case stays open with extended SLA tracking
- All network communications attach to the case

4.8 Case Closure & Outcome Posting

On closure:

- Outcome is recorded (cardholder favor / merchant favor / withdrawn)
- Final balance adjustments are computed and posted (provisional credit becomes permanent, or is reversed)
- Cardholder notification is dispatched with outcome explanation and, if relevant, the reversal date
- Closed cases remain readable and exportable

4.9 Internal Notes & Communication

- Threaded note system with timestamp and author
- Notes can be flagged "internal only" vs. "shareable summary" (the shareable summary may be surfaced to cardholder)
- Attachments to notes supported

4.10 SLA Tracking & Alerts

Each case displays:

- Time since submission
- Time to 30-day acknowledgement deadline (FCBA)

- Time to 90-day / 2-billing-cycle resolution deadline (FCBA)
- Visual indicator (green / yellow / red) based on issuer-configured thresholds

Alerts are sent to assignee and supervisor when:

- Case is approaching ack deadline (default: 5 days before)
- Case is approaching resolution deadline (default: 7 days before)
- Provisional credit has not been issued on an eligible case past day 14

5. Business Rules

1. **FCBA window:** Disputes must be filed within 60 days of the statement date on which the transaction first appeared.
2. **Acknowledgement:** Cardholder must receive written acknowledgement of the dispute within 30 days.
3. **Resolution:** Disputes must be resolved within 2 complete billing cycles, not to exceed 90 days.
4. **No collection during dispute:** The disputed amount cannot be reported as delinquent, and no collection activity is permitted on the disputed amount during the dispute.
5. **One open dispute per transaction at a time:** A second dispute on the same transaction is not accepted while the first is open; supervisors may merge or reopen via exception process.
6. **Provisional credit reversal notice:** If a provisional credit will be reversed (merchant favor outcome), cardholder gets advance notice (at least 1 billing cycle).

6. Related Flows

Depends On	Reason
Flow 2: Cardholder Account Management	Account / cardholder context
Flow 5: Transaction Monitoring	Source of transaction data being disputed

Depends On	Reason
Flow 6: Statement & Billing	Provisional credits and adjustments post to statements
End-Client: Dispute Submission & Tracker	Origin of disputes; consumer of status updates
Network chargeback service	Submission and representment of disputes to Visa/Mastercard
Notification system	Cardholder status notifications

7. Edge Cases

Case	Expected Behavior
Cardholder submits dispute, then transaction is refunded by merchant before agent picks it up	Case auto-flags for withdrawal; agent closes with "Withdrawn — Resolved at merchant"
Card is closed during an open dispute	Dispute continues; provisional credit and final adjustment post to the closed account
Dispute escalates to network arbitration	Case stays open; SLA clock pauses on arbitration response time; supervisor takes ownership
Cardholder submits new evidence after case is closed	Case is reopened with supervisor approval only; new SLA clock starts
Merchant goes out of business mid-investigation	Agent documents inability to contact; case typically resolves cardholder favor
Same transaction disputed across multiple cards (joint account, post-MVP)	Only one dispute case per transaction allowed
Out-of-window dispute submitted	Routed to exception review queue; cardholder receives "outside window" notice with rationale

8. Compliance Notes

- **FCBA (Reg Z §1026.13):** All timelines (30-day ack, 2-cycle / 90-day resolution, 60-day filing window) are enforced.

- **EFTA / Reg E:** For debit-style transactions, separate timelines apply — out of scope for this credit-card MVP but noted as a future cross-product consideration.
 - **CFPB UDAP:** Status tracking must not understate or omit consumer rights; status copy is reviewed by compliance.
 - **Record retention:** Case files retained 7 years minimum.
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? 9. Open Questions

- Auto-assignment rules — round-robin vs. skill-based routing for MVP?
- Should provisional credit be auto-issued for clear-cut fraud cases below threshold, or always require agent action?
- Bulk-action support (e.g., a merchant outage triggering many similar disputes) — MVP or post-MVP?(Post-MVP)
- Integration depth with the Mastercard/Visa chargeback portals — direct API or upload-based for MVP?